



The University of Hong Kong

PMGM7030 Sustainable Management and Responsible Investment

Consultation Time: by appointment

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Course Description and Objectives

Sustainable management and responsible investment are rapidly emerging fields that support the development of socially responsible organizations and low-carbon and climate-resilient economy. This course aims to equip students with the knowledge of the green economy and the application of sustainability management and governance and reporting techniques to address various social and environmental issues, and the incorporation of environmental, social and governance (“ESG”) factors into daily management decision-making.

A number of selected management and accounting topics are covered in the course. The topics include, but not limited to: 1) the use of the information of sustainability reporting; 2) the understanding and application of different social impact measurements methodologies (e.g. SROI); 3) the introduction of socially responsible or impact investment concepts; 4) the incorporation of ESG data into management and investment decision and 5) the emergence of green finance. In addition to these selected management and accounting topics, I also cover some increasingly crucial policy and organization economics areas, such as, the formulation of corporate social responsibility strategy, the integration of ESG elements into governance practice and the emergence of social innovation, to provide our students with knowledge about the hybrid nature of global green finance and sustainable investment market.

Intended Learning Outcomes

After completing this course, students are expected to achieve the following intended learning outcomes (ILOs):

1. To provide students with the theory, frameworks and models of corporate social responsibility and how organizations develop social responsibility strategy and programs.
2. To gain knowledge about the corporate governance and capture ESG elements into governance practice.
3. To gain a reasonable understanding of theoretical development and practical application knowledge in sustainability reporting and management.
4. To gain knowledge on the development of green finance markets and the concepts of socially responsible/ impact investment.
5. To introduce students to the importance of environmental, social and governance factors and how the “ESG” factors are integrated into traditional risk and return models in making investment decisions.
6. To explore the role of foundations, funds, fund managers and other intermediaries and vehicles in impact investing market.
7. To gain knowledge on the development of regulatory frameworks and various international standards and principles on socially responsible investment.

Class Materials

As the contents covered in this course are very contemporary, I do not prescribe a textbook. All required lecture notes, cases and readings are organized by the instructor and distributed to the students at the beginning of semester. Additional readings may

be provided for class discussion.

Course Assessment Components

Assessment Method	Details of Assignment	Weighting
Attendance, Participation, & Leadership	Participation	10%
Group Presentations	Case analysis & presentation	30%
Simulation Exercises	Social impact assessment (15%) & Investment analysis (15%) (Group Basis)	30%
Individual Essays	A reflective and critical essay on self-selected topics	30%

Attendance, Participation, & Leadership (10%)

We will rely on a wide range of business cases and readings as the primary means for knowledge dissemination. Each student of the class is expected to well-prepare, take ownership and lead the class discussion. The grade for individual attendance, participation and class leadership are based on the extent of the student's participation and contribution.

Group Presentations (30%)

Group presentations are performed throughout the semester. Each group should consist of **7-8** students. Each group of students is required to deliver a presentation of 25 minutes, plus Q&A on the assigned business case.

The group presentations are evaluated based on the following five criteria: 1) presentation style; 2) the use of presentation/ visual aids; 3) the contents and organizations; 4) the use of real world and relevant examples and information and 5) the quality of interaction at the Q&A sessions.

Simulation Exercises – Social Impact Assessment (15%) & Investment Analysis (15%)

Each group is required to submit the reports of simulation exercises in **5** pages. The deadlines for submission are one week after the lecture dates. The performance of simulation exercises will be appraised on the following three major criteria: 1) presentation style and level of professionalism and 2) the contents and organizations.

The students should play roles as management in these two exercises to discuss the management issues in various simulated settings. The detailed requirements will be provided in the class at due course.

Individual Essays (30%)

Each student is required to complete one individual write-up based on your selected topics. Each write-up should be written in the form of report in **10** pages. I will assess your write-ups based on the following criteria: 1) the content of the report; 2) the writing style (coherence/clarity) and 3) research and support. The deadline of the final write-up will be at 5:30 pm on **November 28, 2025**. Please submit the assignment to the folder in the Course Moodle. Late submission will have a penalty of 10% deduction per day.

Lecture Outline

1st Lecture – Developing Socially Responsible Strategies (October 14, 2025)

Agenda:

- ❖ What is CSR
- ❖ CSR in different regions
- ❖ Why CSR
- ❖ How to formulate socially responsible strategies
- ❖ Overview of sustainability reporting
- ❖ CSR Fraud
- ❖ Conclusion

Recommended Readings:

1. **How Citi Successfully Implemented Community Engagement with Limited Resources**
2. **Richform Holdings Ltd—How a Hong Kong Small Enterprise Succeeded Using Corporate Social Responsibility Initiatives**
3. The Pyramid of Corporate Social Responsibility: Toward the Moral Management of Organizational Stakeholders
4. The Social Responsibility of Business is to Increase its Profit

2nd Lecture – Integrating ESG Elements into Governance Practice (October 17, 2025)

Agenda:

- ❖ The principles of corporate governance
- ❖ Corporate governance framework
- ❖ Possible internal and external governance mechanisms
- ❖ Capturing ESG elements into board practice
- ❖ Board oversight and climate change
- ❖ Responsible board for sustainable future
- ❖ Conclusions

Recommended Readings:

1. Corporate Purpose and Responsibility
2. Listing Rule Appendix C1 - Code of Corporate Governance
3. A Survey of Corporate Governance
4. **Wirecard's Multibillion-Dollar Fraud: Who Should be Blamed for the Corporate Governance Failure?**

3rd Lecture – Sustainability Reporting (October 21, 2025)

Agenda:

- ❖ Introduction
- ❖ Current Trends in CSR Reporting
- ❖ The Sustainability Management Framework
- ❖ The Stakeholder Approach
- ❖ CSR & Profitability
- ❖ Various International ESG Reporting Standards
- ❖ Sustainability Reporting in Hong Kong

Readings:

1. The KPMG survey of corporate responsibility reporting 2022
2. Appendix C2 - Environmental, Social and Governance Reporting Guide
3. The Effects of Mandatory ESG Disclosure Around the World
4. Recommendations of the Task Force on Climate-related Financial Disclosures
5. IFRS S1 General Requirements for Disclosure of Sustainability-related Financial Information
6. IFRS S2 Climate-related Disclosures

1st Group Presentation on October 21, 2025

How Citi Successfully Implemented Community Engagement with Limited Resources

4th & 5th Lecture – Social Impact Assessment (Part I & II)
(October 24 & 28, 2025)

Agenda:

- ❖ Reasons for having the Social Impact Assessment Frameworks
- ❖ Stages of Impact Measurement
- ❖ Calculation of Social Return on Investment
- ❖ Social Impact Assessment Tools
- ❖ Total Impact Measurement and Management
- ❖ True Value Model

Readings:

1. Conducting Social Impact Assessment for Third Sector Organizations
2. The Hong Kong Blind Union: A Small Self-help NGO with Board of Directors actively involved in operation
3. Measuring what matters in nonprofits
4. What impact? A framework for measuring the scale and scope of social performance
5. A guide to social return on investment
6. Social return on investment: three technical challenges

2nd Group Presentation on October 24, 2025

Richform Holdings Ltd—How a Hong Kong Small Enterprise Succeeded Using Corporate Social Responsibility Initiatives

3rd Group Presentation on October 28, 2025

Wirecard's Multibillion-Dollar Fraud: Who Should be Blamed for the Corporate Governance Failure?

1st Simulation Exercise on October 28, 2025

6th Lecture – Green Bond
(October 31, 2025)

Agenda:

- ❖ Introduction
- ❖ What are Bonds?
- ❖ What are Green Bonds?
- ❖ Green Bond Principles
- ❖ Assurance/Verification
- ❖ New Era of Green Bonds
- ❖ Green Bonds in Asia, China and Hong Kong

Readings:

1. **Social Finance, Inc.**
2. **BOCHK: Go Green with Banks, and with your Mortgages**
3. Green Bond Report 2023 by HKSAR Government
4. Corporate green bond in Asia
5. Green Bond Principles 2021
6. White Paper on ESG Practices in China

4th Group Presentation on October 31, 2025

The Hong Kong Blind Union: A Small Self-help NGO with Board of Directors actively involved in operation

7th, 8th, 9th & 10th Lecture – Socially Responsible Investment (Part I, II & III)
(November 4, 7, 11 & 14, 2025)

Agenda:

7th Lecture

- ❖ Socially responsible investment – Where do we stand?
- ❖ Terminology and Definitions
- ❖ UNEP FI & SDGs
- ❖ ESG investment strategy
- ❖ Norwegian Pension Fund & CalPERS

8th Lecture

- ❖ Major parties involved in socially responsible investment
- ❖ ESG global megatrends affecting companies
- ❖ Identification of ESG drivers
- ❖ Analysis of corporate governance and controversies
- ❖ Analysis of Environmental and Social: sector specific
- ❖ Consistent with the business model?

9th & 10th Lecture

- ❖ Introduction: ESG and valuation models
- ❖ How ESG gets into the valuation?
- ❖ Financial Statements & Fundamental Analysis
- ❖ Your Practice times

Readings:

1. **The Norwegian Government Pension Fund: the divestiture of Wal-Mart Stores Inc.**
2. **Credit Suisse: Building Impact Investing Business in Asia**
3. Financing change: How to mobilize private sector financing for sustainable infrastructure
4. Green and Social Finance Development around the World
5. Rating the Raters: Evaluating how ESG Rating Agencies Integrate Sustainability Principles
6. Aggregate Confusion: The Divergence of ESG Ratings

5th Group Presentation on November 4, 2025

BOCHK: Go Green with Banks, and with your Mortgages

6th Group Presentation on November 7, 2025

Social Finance, Inc.

7th Group Presentation on November 11, 2025

The Norwegian Government Pension Fund: the divestiture of Wal-Mart Stores Inc.

8th Group Presentation on November 14, 2025

Credit Suisse: Building Impact Investing Business in Asia

The 2nd Simulation Exercise on November 14, 2025